

Economy Topic 28: Solved Practice Workbook

****Status cutoff:**** 10 September 2026. Exact answer rotation is ABCD repeated eight times.

MCQs

Q1. Which statement best defines economic incidence?

- A. The final distribution of benefit after price and quantity adjustments
- B. The ministry named in the scheme
- C. The first account receiving payment
- D. The amount printed in the Budget

****Answer: A****

****Option explanations:****

- A. Correct: The final distribution of benefit after price and quantity adjustments; incidence follows market adjustment, not administrative routing.
- B. Incorrect: The ministry named in the scheme; it does not satisfy the controlling distinction because incidence follows market adjustment, not administrative routing.
- C. Incorrect: The first account receiving payment; it does not satisfy the controlling distinction because incidence follows market adjustment, not administrative routing.
- D. Incorrect: The amount printed in the Budget; it does not satisfy the controlling distinction because incidence follows market adjustment, not administrative routing.

****UPSC trap:**** Trap 1: The ministry or first payee is not the final economic beneficiary.

Q2. Which pairing is correct?

- A. All direct support is off-budget
- B. Direct support and explicit support are different classification axes
- C. All indirect support is implicit
- D. All explicit support reaches farmers in cash

****Answer: B****

****Option explanations:****

- A. Incorrect: All direct support is off-budget; it does not satisfy the controlling distinction because direct/indirect describes delivery or linkage while explicit/implicit describes fiscal visibility.
- B. Correct: Direct support and explicit support are different classification axes; direct/indirect describes delivery or linkage while explicit/implicit describes fiscal visibility.
- C. Incorrect: All indirect support is implicit; it does not satisfy the controlling distinction because direct/indirect describes delivery or linkage while explicit/implicit describes fiscal visibility.
- D. Incorrect: All explicit support reaches farmers in cash; it does not satisfy the controlling distinction because direct/indirect describes delivery or linkage while explicit/implicit describes fiscal visibility.

****UPSC trap:**** Trap 2: Direct-indirect and explicit-implicit are two axes, not interchangeable pairs.

Q3. Fertiliser DBT primarily means

- A. Unconditional cash to every cultivator
- B. Inclusion of urea in NBS
- C. Company subsidy release linked to PoS-recorded retail sale
- D. Replacement of all fertiliser price rules

****Answer: C****

****Option explanations:****

- A. Incorrect: Unconditional cash to every cultivator; it does not satisfy the controlling distinction because the official DBT architecture reimburses firms after verified sales.
- B. Incorrect: Inclusion of urea in NBS; it does not satisfy the controlling distinction because the official DBT architecture reimburses firms after verified sales.
- C. Correct: Company subsidy release linked to PoS-recorded retail sale; the official DBT architecture reimburses firms after verified sales.
- D. Incorrect: Replacement of all fertiliser price rules; it does not satisfy the controlling distinction because the official DBT architecture reimburses firms after verified sales.

****UPSC trap:**** Trap 3: The letters DBT do not prove that cash reaches a farmer.

Q4. Under current official architecture, NBS covers

- A. Only urea
- B. Electricity supplied to pump sets
- C. All farm machinery
- D. Notified phosphatic and potassic fertiliser grades

****Answer: D****

****Option explanations:****

- A. Incorrect: Only urea; it does not satisfy the controlling distinction because NBS is the nutrient-rate framework for notified P&K grades.
- B. Incorrect: Electricity supplied to pump sets; it does not satisfy the controlling distinction because NBS is the nutrient-rate framework for notified P&K grades.
- C. Incorrect: All farm machinery; it does not satisfy the controlling distinction because NBS is the nutrient-rate framework for notified P&K grades.
- D. Correct: Notified phosphatic and potassic fertiliser grades; NBS is the nutrient-rate framework for notified P&K grades.

****UPSC trap:**** Trap 4: Urea must not be placed inside the NBS basket.

Q5. A Budget Estimate is

- A. A planned provision for the financial year
- B. Audited final expenditure
- C. A WTO notification value
- D. The producer's net benefit

****Answer: A****

****Option explanations:****

- A. Correct: A planned provision for the financial year; BE must not be confused with Actual or incidence.
- B. Incorrect: Audited final expenditure; it does not satisfy the controlling distinction because BE must not be confused with Actual or incidence.
- C. Incorrect: A WTO notification value; it does not satisfy the controlling distinction because BE must not be confused with Actual or incidence.
- D. Incorrect: The producer's net benefit; it does not satisfy the controlling distinction because BE must not be confused with Actual or incidence.

****UPSC trap:**** Trap 5: A Budget Estimate is neither audited spending nor measured welfare.

Q6. Why can a quantity-linked input subsidy be regressive?

- A. Every recipient receives identical value
- B. Larger users may capture more total benefit
- C. It always excludes landowners
- D. Its fiscal cost is always zero

****Answer: B****

****Option explanations:****

- A. Incorrect: Every recipient receives identical value; it does not satisfy the controlling distinction because benefit rises with subsidised quantity and access.
- B. Correct: Larger users may capture more total benefit; benefit rises with subsidised quantity and access.
- C. Incorrect: It always excludes landowners; it does not satisfy the controlling distinction because benefit rises with subsidised quantity and access.
- D. Incorrect: Its fiscal cost is always zero; it does not satisfy the controlling distinction because benefit rises with subsidised quantity and access.

****UPSC trap:**** Trap 6: Equal subsidy per unit can create unequal total gains across farm sizes.

Q7. The water-energy-crop loop describes

- A. Only monsoon forecasting
- B. A WTO tariff quota
- C. Interacting power, groundwater and crop-price incentives
- D. A crop-insurance claim cycle

****Answer: C****

****Option explanations:****

- A. Incorrect: Only monsoon forecasting; it does not satisfy the controlling distinction because joint incentives can lock in extraction and crop choice.
- B. Incorrect: A WTO tariff quota; it does not satisfy the controlling distinction because joint incentives can lock in extraction and crop choice.
- C. Correct: Interacting power, groundwater and crop-price incentives; joint incentives can lock in extraction and crop choice.
- D. Incorrect: A crop-insurance claim cycle; it does not satisfy the controlling distinction because joint incentives can lock in extraction and crop choice.

****UPSC trap:**** Trap 7: Power, water and crop incentives interact; isolating one misses the loop.

Q8. Which is not automatically proved by digital authentication?

- A. A transaction can be logged
- B. Duplicate detection may improve
- C. An audit trail can be created
- D. Zero exclusion and zero leakage

****Answer: D****

****Option explanations:****

- A. Incorrect: A transaction can be logged; it does not satisfy the controlling distinction because digitisation can reduce some errors while creating others.
- B. Incorrect: Duplicate detection may improve; it does not satisfy the controlling distinction because digitisation can reduce some errors while creating others.
- C. Incorrect: An audit trail can be created; it does not satisfy the controlling distinction because digitisation can reduce some errors while creating others.
- D. Correct: Zero exclusion and zero leakage; digitisation can reduce some errors while creating others.

****UPSC trap:**** Trap 8: Authentication can reduce duplicates while still excluding genuine users.

Q9. PM-KISAN is best classified as

- A. Eligible-family income support subject to scheme rules
- B. A fertiliser-company reimbursement
- C. A guaranteed procurement contract
- D. An export subsidy

****Answer: A****

****Option explanations:****

- A. Correct: Eligible-family income support subject to scheme rules; its legal form is an income transfer rather than input-price reimbursement.
- B. Incorrect: A fertiliser-company reimbursement; it does not satisfy the controlling distinction because its legal form is an income transfer rather than input-price reimbursement.
- C. Incorrect: A guaranteed procurement contract; it does not satisfy the controlling distinction because its legal form is an income transfer rather than input-price reimbursement.
- D. Incorrect: An export subsidy; it does not satisfy the controlling distinction because its legal form is an income transfer rather than input-price reimbursement.

****UPSC trap:**** Trap 9: PM-KISAN is income support, not a fertiliser reimbursement or procurement right.

Q10. Interest subvention lowers

- A. The WTO tariff binding
- B. The effective borrowing cost for eligible credit
- C. The crop's rainfall risk directly
- D. The consumer food price by definition

****Answer: B****

****Option explanations:****

- A. Incorrect: The WTO tariff binding; it does not satisfy the controlling distinction because subvention changes financing cost, not every other farm risk.
- B. Correct: The effective borrowing cost for eligible credit; subvention changes financing cost, not every other farm risk.
- C. Incorrect: The crop's rainfall risk directly; it does not satisfy the controlling distinction because subvention changes financing cost, not every other farm risk.
- D. Incorrect: The consumer food price by definition; it does not satisfy the controlling distinction because subvention changes financing cost, not every other farm risk.

****UPSC trap:**** Trap 10: Interest subsidy is not the principal amount of agricultural credit.

Q11. Premium subsidy under crop insurance

- A. Guarantees payment for every reported loss
- B. Equals total insured sum
- C. Shares the cost of an insurance contract
- D. Eliminates basis risk

****Answer: C****

****Option explanations:****

- A. Incorrect: Guarantees payment for every reported loss; it does not satisfy the controlling distinction because premium support does not remove trigger and assessment conditions.
- B. Incorrect: Equals total insured sum; it does not satisfy the controlling distinction because premium support does not remove trigger and assessment conditions.
- C. Correct: Shares the cost of an insurance contract; premium support does not remove trigger and assessment conditions.
- D. Incorrect: Eliminates basis risk; it does not satisfy the controlling distinction because premium support does not remove trigger and assessment conditions.

****UPSC trap:**** Trap 11: Premium support neither guarantees a claim nor eliminates basis risk.

Q12. MSP announcement differs from procurement because

- A. MSP is a WTO Green Box category
- B. Procurement is always equal to subsidy
- C. MSP is a consumer transfer
- D. Procurement is an actual purchase operation

****Answer: D****

****Option explanations:****

- A. Incorrect: MSP is a WTO Green Box category; it does not satisfy the controlling distinction because price announcement and realised purchase are distinct events.
- B. Incorrect: Procurement is always equal to subsidy; it does not satisfy the controlling distinction because price announcement and realised purchase are distinct events.
- C. Incorrect: MSP is a consumer transfer; it does not satisfy the controlling distinction because price announcement and realised purchase are distinct events.
- D. Correct: Procurement is an actual purchase operation; price announcement and realised purchase are distinct events.

****UPSC trap:**** Trap 12: An announced MSP and an actual government purchase are different facts.

Q13. The WTO Agreement on Agriculture has which three pillars?

- A. Market access, domestic support and export competition
- B. Tariffs, services and intellectual property
- C. Currency, debt and reserves
- D. Procurement, PDS and irrigation

****Answer: A****

****Option explanations:****

- A. Correct: Market access, domestic support and export competition; the AoA's official architecture is the three-pillar framework.
- B. Incorrect: Tariffs, services and intellectual property; it does not satisfy the controlling distinction because the AoA's official architecture is the three-pillar framework.
- C. Incorrect: Currency, debt and reserves; it does not satisfy the controlling distinction because the AoA's official architecture is the three-pillar framework.
- D. Incorrect: Procurement, PDS and irrigation; it does not satisfy the controlling distinction because the AoA's official architecture is the three-pillar framework.

****UPSC trap:**** Trap 13: Domestic-support boxes are only one of the AoA's three pillars.

Q14. Tariff-rate quotas belong primarily to

- A. Green Box
- B. Market access
- C. Article 6.2

D. Export subsidy elimination

****Answer: B****

****Option explanations:****

- A. Incorrect: Green Box; it does not satisfy the controlling distinction because TRQs are border instruments rather than domestic-support boxes.
- B. Correct: Market access; TRQs are border instruments rather than domestic-support boxes.
- C. Incorrect: Article 6.2; it does not satisfy the controlling distinction because TRQs are border instruments rather than domestic-support boxes.
- D. Incorrect: Export subsidy elimination; it does not satisfy the controlling distinction because TRQs are border instruments rather than domestic-support boxes.

****UPSC trap:**** Trap 14: A tariff-rate quota is a border instrument, not a domestic-support box.

Q15. Green Box means

- A. Any environmentally beneficial subsidy
- B. Any subsidy below 10 percent
- C. Support meeting Annex 2 general and policy-specific criteria
- D. Any payment to a developing country

****Answer: C****

****Option explanations:****

- A. Incorrect: Any environmentally beneficial subsidy; it does not satisfy the controlling distinction because Green status follows legal criteria, not colour or size.
- B. Incorrect: Any subsidy below 10 percent; it does not satisfy the controlling distinction because Green status follows legal criteria, not colour or size.
- C. Correct: Support meeting Annex 2 general and policy-specific criteria; Green status follows legal criteria, not colour or size.
- D. Incorrect: Any payment to a developing country; it does not satisfy the controlling distinction because Green status follows legal criteria, not colour or size.

****UPSC trap:**** Trap 15: Green Box is a legal Annex 2 category, not an environmental label.

Q16. Blue Box requires, among other things

- A. An export contingency
- B. A fertiliser PoS transaction
- C. A public-stockholding notification only
- D. A qualifying production-limiting direct-payment design

****Answer: D****

****Option explanations:****

- A. Incorrect: An export contingency; it does not satisfy the controlling distinction because Article 6.5 ties Blue treatment to fixed-base production-limiting conditions.
- B. Incorrect: A fertiliser PoS transaction; it does not satisfy the controlling distinction because Article 6.5 ties Blue treatment to fixed-base production-limiting conditions.
- C. Incorrect: A public-stockholding notification only; it does not satisfy the controlling distinction because Article 6.5 ties Blue treatment to fixed-base production-limiting conditions.
- D. Correct: A qualifying production-limiting direct-payment design; Article 6.5 ties Blue treatment to fixed-base production-limiting conditions.

****UPSC trap:**** Trap 16: A direct payment is Blue only when production-limiting conditions are met.

Q17. Amber Box support is

- A. Non-exempt trade- or production-distorting domestic support counted in AMS
- B. Automatically prohibited expenditure
- C. All public agricultural spending
- D. Only consumer food subsidy

****Answer: A****

****Option explanations:****

- A. Correct: Non-exempt trade- or production-distorting domestic support counted in AMS; Amber is a residual domestic-support category subject to commitments and exemptions.
- B. Incorrect: Automatically prohibited expenditure; it does not satisfy the controlling distinction because Amber is a residual domestic-support category subject to commitments and exemptions.

- C. Incorrect: All public agricultural spending; it does not satisfy the controlling distinction because Amber is a residual domestic-support category subject to commitments and exemptions.
- D. Incorrect: Only consumer food subsidy; it does not satisfy the controlling distinction because Amber is a residual domestic-support category subject to commitments and exemptions.

****UPSC trap:**** Trap 17: Amber support is counted and disciplined; it is not automatically prohibited.

Q18. For a developing member, product-specific de minimis is generally tested against

- A. Total government expenditure
- B. That product's value of production
- C. Total exports
- D. Procurement value only

****Answer: B****

****Option explanations:****

- A. Incorrect: Total government expenditure; it does not satisfy the controlling distinction because Article 6.4 uses the product's production value denominator.
- B. Correct: That product's value of production; Article 6.4 uses the product's production value denominator.
- C. Incorrect: Total exports; it does not satisfy the controlling distinction because Article 6.4 uses the product's production value denominator.
- D. Incorrect: Procurement value only; it does not satisfy the controlling distinction because Article 6.4 uses the product's production value denominator.

****UPSC trap:**** Trap 18: Use the product's production value, not procurement value, as the denominator.

Q19. Product-specific and non-product-specific de minimis tests are

- A. Added into one 20 percent allowance
- B. Both based on procurement value
- C. Separate tests
- D. Unavailable to developing members

****Answer: C****

****Option explanations:****

- A. Incorrect: Added into one 20 percent allowance; it does not satisfy the controlling distinction because the two categories have separate numerators and denominators.
- B. Incorrect: Both based on procurement value; it does not satisfy the controlling distinction because the two categories have separate numerators and denominators.
- C. Correct: Separate tests; the two categories have separate numerators and denominators.
- D. Incorrect: Unavailable to developing members; it does not satisfy the controlling distinction because the two categories have separate numerators and denominators.

****UPSC trap:**** Trap 19: The two developing-country 10 percent tests cannot be pooled into 20 percent.

Q20. Article 6.2 can exempt

- A. Every agricultural measure without conditions
- B. All export subsidies
- C. All administered prices
- D. Specified developing-country investment and qualifying input subsidies

****Answer: D****

****Option explanations:****

- A. Incorrect: Every agricultural measure without conditions; it does not satisfy the controlling distinction because the development provision is limited by member and measure conditions.
- B. Incorrect: All export subsidies; it does not satisfy the controlling distinction because the development provision is limited by member and measure conditions.
- C. Incorrect: All administered prices; it does not satisfy the controlling distinction because the development provision is limited by member and measure conditions.
- D. Correct: Specified developing-country investment and qualifying input subsidies; the development provision is limited by member and measure conditions.

****UPSC trap:**** Trap 20: Developing-country status does not exempt every input subsidy under Article 6.2.

Q21. The AoA market-price-support formula uses

- A. Administered price minus fixed external reference price, times eligible production
- B. Budget outlay times procurement price
- C. Market price minus MSP, times exports
- D. Tariff rate times imports

****Answer: A****

****Option explanations:****

- A. Correct: Administered price minus fixed external reference price, times eligible production; Annex 3 uses the administered-reference price gap and eligible production.
- B. Incorrect: Budget outlay times procurement price; it does not satisfy the controlling distinction because Annex 3 uses the administered-reference price gap and eligible production.
- C. Incorrect: Market price minus MSP, times exports; it does not satisfy the controlling distinction because Annex 3 uses the administered-reference price gap and eligible production.
- D. Incorrect: Tariff rate times imports; it does not satisfy the controlling distinction because Annex 3 uses the administered-reference price gap and eligible production.

****UPSC trap:**** Trap 21: WTO market-price support is a formula, not the procurement bill.

Q22. The fixed external reference price generally relates to

- A. The latest Budget year
- B. The 1986-88 base period
- C. The last three crop seasons automatically
- D. The current world spot price

****Answer: B****

****Option explanations:****

- A. Incorrect: The latest Budget year; it does not satisfy the controlling distinction because the historical fixed base is central to the inflation debate.
- B. Correct: The 1986-88 base period; the historical fixed base is central to the inflation debate.
- C. Incorrect: The last three crop seasons automatically; it does not satisfy the controlling distinction because the historical fixed base is central to the inflation debate.
- D. Incorrect: The current world spot price; it does not satisfy the controlling distinction because the historical fixed base is central to the inflation debate.

****UPSC trap:**** Trap 22: The fixed reference price is historical, not the latest world-market quotation.

Q23. Eligible production necessarily equals actual procurement

- A. Yes, in every programme
- B. Yes, but only for exports
- C. No; the legal eligibility concept may differ
- D. No, because quantity is never used

****Answer: C****

****Option explanations:****

- A. Incorrect: Yes, in every programme; it does not satisfy the controlling distinction because programme coverage and legal availability determine eligible production.
- B. Incorrect: Yes, but only for exports; it does not satisfy the controlling distinction because programme coverage and legal availability determine eligible production.
- C. Correct: No; the legal eligibility concept may differ; programme coverage and legal availability determine eligible production.
- D. Incorrect: No, because quantity is never used; it does not satisfy the controlling distinction because programme coverage and legal availability determine eligible production.

****UPSC trap:**** Trap 23: Eligible production cannot automatically be replaced by procured quantity.

Q24. The Bali public-stockholding decision dates from

- A. 1 April 2010
- B. 19 December 2015
- C. 10 September 2026
- D. 7 December 2013

****Answer: D****

****Option explanations:****

- A. Incorrect: 1 April 2010; it does not satisfy the controlling distinction because the ministerial decision was adopted at Bali in December 2013.
- B. Incorrect: 19 December 2015; it does not satisfy the controlling distinction because the ministerial decision was adopted at Bali in December 2013.
- C. Incorrect: 10 September 2026; it does not satisfy the controlling distinction because the ministerial decision was adopted at Bali in December 2013.
- D. Correct: 7 December 2013; the ministerial decision was adopted at Bali in December 2013.

****UPSC trap:**** Trap 24: Do not confuse the 2013 Bali decision with the later 2014 extension.

Q25. WT/L/939 provides that the interim mechanism lasts

- A. Until a permanent solution is agreed and adopted
- B. Only until MC11
- C. For one financial year
- D. Until domestic stocks are exhausted

****Answer: A****

****Option explanations:****

- A. Correct: Until a permanent solution is agreed and adopted; the 2014 General Council decision removed a fixed ministerial expiry.
- B. Incorrect: Only until MC11; it does not satisfy the controlling distinction because the 2014 General Council decision removed a fixed ministerial expiry.
- C. Incorrect: For one financial year; it does not satisfy the controlling distinction because the 2014 General Council decision removed a fixed ministerial expiry.
- D. Incorrect: Until domestic stocks are exhausted; it does not satisfy the controlling distinction because the 2014 General Council decision removed a fixed ministerial expiry.

****UPSC trap:**** Trap 25: The interim mechanism did not expire merely because MC11 passed.

Q26. The peace clause is best understood as

- A. A permanent amendment deleting AMS rules
- B. Conditional due restraint for qualifying programmes
- C. A universal exemption for all farm support
- D. A waiver of notification duties

****Answer: B****

****Option explanations:****

- A. Incorrect: A permanent amendment deleting AMS rules; it does not satisfy the controlling distinction because scope, transparency and safeguards remain material.
- B. Correct: Conditional due restraint for qualifying programmes; scope, transparency and safeguards remain material.
- C. Incorrect: A universal exemption for all farm support; it does not satisfy the controlling distinction because scope, transparency and safeguards remain material.
- D. Incorrect: A waiver of notification duties; it does not satisfy the controlling distinction because scope, transparency and safeguards remain material.

****UPSC trap:**** Trap 26: Due restraint is conditional and does not erase notification obligations.

Q27. Which distinction is correct?

- A. Every duty remission is an export subsidy
- B. Every export promotion measure is legal
- C. Export contingency is central to identifying an export subsidy
- D. Domestic input subsidy and export subsidy are identical

****Answer: C****

****Option explanations:****

- A. Incorrect: Every duty remission is an export subsidy; it does not satisfy the controlling distinction because legal classification examines contingency and excess benefit.
- B. Incorrect: Every export promotion measure is legal; it does not satisfy the controlling distinction because legal classification examines contingency and excess benefit.
- C. Correct: Export contingency is central to identifying an export subsidy; legal classification examines contingency and excess benefit.
- D. Incorrect: Domestic input subsidy and export subsidy are identical; it does not satisfy the controlling distinction because legal classification examines contingency and excess benefit.

****UPSC trap:**** Trap 27: A valid tax remission is not automatically an export subsidy.

Q28. Nairobi's 2015 agricultural export decision addressed

- A. Creation of NBS
- B. Adoption of PM-KISAN
- C. Replacement of the AoA
- D. Export-subsidy elimination and related export-competition disciplines

****Answer: D****

****Option explanations:****

- A. Incorrect: Creation of NBS; it does not satisfy the controlling distinction because the ministerial outcome tightened export-competition rules.
- B. Incorrect: Adoption of PM-KISAN; it does not satisfy the controlling distinction because the ministerial outcome tightened export-competition rules.
- C. Incorrect: Replacement of the AoA; it does not satisfy the controlling distinction because the ministerial outcome tightened export-competition rules.
- D. Correct: Export-subsidy elimination and related export-competition disciplines; the ministerial outcome tightened export-competition rules.

****UPSC trap:**** Trap 28: Nairobi disciplines extend beyond a simplistic ban-label comparison.

Q29. A sound cross-country subsidy comparison uses

- A. A common metric, period, currency basis and denominator
- B. Raw budget totals alone
- C. One country's AMS and another's total procurement
- D. Undated scheme announcements

****Answer: A****

****Option explanations:****

- A. Correct: A common metric, period, currency basis and denominator; unmatched definitions create false comparisons.
- B. Incorrect: Raw budget totals alone; it does not satisfy the controlling distinction because unmatched definitions create false comparisons.
- C. Incorrect: One country's AMS and another's total procurement; it does not satisfy the controlling distinction because unmatched definitions create false comparisons.
- D. Incorrect: Undated scheme announcements; it does not satisfy the controlling distinction because unmatched definitions create false comparisons.

****UPSC trap:**** Trap 29: Raw national outlays are incomparable when definition and denominator differ.

Q30. Decoupled support aims to

- A. Increase subsidy per unit of fertiliser
- B. Reduce linkage to current input use or output
- C. Guarantee procurement of all output
- D. Remove all income protection

****Answer: B****

****Option explanations:****

- A. Incorrect: Increase subsidy per unit of fertiliser; it does not satisfy the controlling distinction because weaker current-production linkage usually lowers production distortion.
- B. Correct: Reduce linkage to current input use or output; weaker current-production linkage usually lowers production distortion.
- C. Incorrect: Guarantee procurement of all output; it does not satisfy the controlling distinction because weaker current-production linkage usually lowers production distortion.
- D. Incorrect: Remove all income protection; it does not satisfy the controlling distinction because weaker current-production linkage usually lowers production distortion.

****UPSC trap:**** Trap 30: Cash can remain coupled through current production, land or input conditions.

Q31. A credible subsidy reform package should include

- A. Abrupt universal withdrawal only
- B. Permanent compensation without review
- C. Sequencing, transition protection and outcome evaluation
- D. App counts as the sole success metric

****Answer: C****

****Option explanations:****

- A. Incorrect: Abrupt universal withdrawal only; it does not satisfy the controlling distinction because distribution and implementation determine reform durability.
- B. Incorrect: Permanent compensation without review; it does not satisfy the controlling distinction because distribution and implementation determine reform durability.
- C. Correct: Sequencing, transition protection and outcome evaluation; distribution and implementation determine reform durability.
- D. Incorrect: App counts as the sole success metric; it does not satisfy the controlling distinction because distribution and implementation determine reform durability.

****UPSC trap:**** Trap 31: Efficiency reform without transition protection can be inequitable and unstable.

Q32. Which is the best Mains conclusion?

- A. All subsidies should continue unchanged
- B. WTO rules make food security impossible
- C. Only cash can solve every farm problem
- D. Targeted support, public goods, corrected incentives and WTO transparency should be combined

****Answer: D****

****Option explanations:****

- A. Incorrect: All subsidies should continue unchanged; it does not satisfy the controlling distinction because a balanced package addresses income, productivity, ecology and compliance.
- B. Incorrect: WTO rules make food security impossible; it does not satisfy the controlling distinction because a balanced package addresses income, productivity, ecology and compliance.
- C. Incorrect: Only cash can solve every farm problem; it does not satisfy the controlling distinction because a balanced package addresses income, productivity, ecology and compliance.
- D. Correct: Targeted support, public goods, corrected incentives and WTO transparency should be combined; a balanced package addresses income, productivity, ecology and compliance.

****UPSC trap:**** Trap 32: A balanced conclusion should not demand either blanket retention or abolition.

VERIFIED PYQ ROUTING

UPSC CSE Mains GS-III 2023

****Question:**** What are the direct and indirect subsidies provided to farm sector in India? Discuss the issues raised by the World Trade Organization in relation to agricultural subsidies.

****Model approach:**** Define both categories; map fertiliser, power, irrigation, credit, insurance, income and price support; trace incidence and externalities; then apply AoA pillars, AMS, de minimis, boxes, Article 6.2 and the conditional public-stockholding mechanism. Conclude with transparent, targeted and transition-safe reform.

UPSC CSE Prelims 2020: fertiliser concepts

Use the official paper and key for scoring. The verified conceptual route is: distinguish administered from market-determined pricing; recognise natural gas as a major feedstock for ammonia/urea; and verify industrial by-product chains before accepting a raw-material statement. This workbook does not invent an official key where the authenticated key text is not embedded.

ORIGINAL MAINS PRACTICE

M1. Differentiate direct, indirect, explicit and implicit farm subsidies. Why does economic incidence matter?

****Limit:**** 150 words | ****Native-body count:**** 133

****Model answer:****

Farm subsidies should be classified on two axes. Direct support reaches a named beneficiary, whereas indirect support changes an input or market price. Explicit support appears in public accounts; implicit support arises through price, tariff, credit or resource-use wedges and may not be fully budgeted. These labels do not reveal economic incidence.

For example, fertiliser DBT legally reimburses companies after point-of-sale transactions, yet farmers may benefit through a lower controlled retail price. Cheap power may accrue disproportionately to pump owners, while part of land-linked cash can capitalise into rent. Incidence therefore depends on pass-through, market power, land tenure, quantity used and elasticity.

Policy evaluation should trace statutory recipient, final beneficiary, fiscal cost, distribution and externalities. This prevents the common error of treating the payee or Budget outlay as the farmer's net welfare gain.

****Analytical spine:**** Claim -> named rule/evidence -> incidence/effect -> qualification -> sequenced reform.

M2. Examine the economic case for reforming fertiliser and power subsidies without abandoning smallholder protection.

****Limit:** 150 words | ****Native-body count:** 136****

****Model answer:****

Fertiliser and power subsidies lower cultivation costs and can support food security, liquidity and risk-bearing. Yet open-ended quantity support distorts relative prices. Urea's separate pricing can encourage nitrogen imbalance, while flat or free electricity weakens the signal for groundwater conservation. Benefits may also tilt toward larger users.

Reform should therefore change the instrument, not withdraw protection abruptly. Nutrient-price correction must be paired with soil testing, extension and product availability. Reliable metering can support capped lifeline power, with timely cash protection for vulnerable cultivators. Tenant coverage and grievance mechanisms are essential. Savings should finance irrigation efficiency, research, storage and risk management.

Named evidence should distinguish FY Budget Estimates from outcomes and state tariff rules from Union policy. A phased package with pilots, transition compensation and ecological monitoring can protect incomes while improving soil, water and fiscal sustainability.

****Analytical spine:** Claim -> named rule/evidence -> incidence/effect -> qualification -> sequenced reform.**

M3. Explain the WTO Agreement on Agriculture domestic-support boxes and their relevance for developing countries.

****Limit:** 250 words | ****Native-body count:** 139****

****Model answer:****

The Agreement on Agriculture separates domestic support by legal design rather than programme name. Amber Box is shorthand for non-exempt, trade- or production-distorting support counted in the Aggregate Measurement of Support. Developing members may exclude product-specific support below 10 per cent of that product's value of production and non-product-specific support below 10 per cent of total agricultural production; the tests are separate.

Green Box measures must satisfy Annex 2's public-funding, no-price-support and policy-specific conditions. Blue Box covers qualifying direct payments under production-limiting programmes. Article 6.2 separately exempts specified developing-country investment subsidies and generally available input subsidies for low-income or resource-poor producers.

Therefore neither size nor social purpose alone determines treatment. India must classify components, calculate the correct denominator, notify transparently and defend beneficiary definitions. Domestic reform can pursue equity and sustainability while reducing production coupling and notification risk.

****Analytical spine:** Claim -> named rule/evidence -> incidence/effect -> qualification -> sequenced reform.**

M4. Why does WTO market-price-support measurement generate controversy in public stockholding programmes?

****Limit:** 250 words | ****Native-body count:** 140****

****Model answer:****

Under Annex 3, market-price support is broadly the gap between the applied administered price and a fixed external reference price, multiplied by eligible production. The reference price generally reflects 1986-88, so inflation and currency movements can widen the nominal gap even when real support changes little. Eligible production may also differ from actual procurement, making programme wording and availability decisive.

Public stockholding simultaneously serves food-security aims through procurement, stocks and subsidised distribution. The Bali decision of 7 December 2013 created conditional due restraint for qualifying traditional-staple programmes existing then, subject to notification, transparency, safeguards and consultation. The 28 November 2014 General Council decision keeps the mechanism until a permanent solution is adopted.

The controversy is thus both distributive and legal. Reform proposals must address inflation, eligible quantity and safeguards without erasing the risk that excess stocks or releases distort trade.

****Analytical spine:** Claim -> named rule/evidence -> incidence/effect -> qualification -> sequenced reform.**

M5. Discuss the fiscal, distributional and ecological effects of India's farm-input subsidies.

****Limit:** 250 words | ****Native-body count:** 142****

****Model answer:****

Input subsidies reduce private cultivation cost and can expand adoption, production and resilience. Their welfare effect, however, depends on incidence. Quantity-linked fertiliser, electricity, irrigation or credit support may deliver larger absolute gains to farmers with more land, pumps, formal records or market access, while tenants and rain-fed cultivators receive less.

Fiscal cost includes recorded expenditure and the opportunity cost of displaced research, extension, health, roads or irrigation maintenance. Ecologically, low relative prices can promote nitrogen imbalance, groundwater extraction, energy use and water-intensive crop lock-in. Interactions with procurement can reinforce the water-energy-crop feedback.

Evaluation should therefore report benefit by land class and region, marginal productivity, soil and water outcomes, leakage and counterfactual public investment. The answer is not blanket withdrawal. Targeted income or risk support, corrected price signals, lifeline protection, public goods, transition compensation and sunset review can improve both equity and sustainability.

****Analytical spine:**** Claim -> named rule/evidence -> incidence/effect -> qualification -> sequenced reform.

M6. Design a balanced farm-subsidy reform strategy consistent with food security and WTO obligations.

****Limit:**** 250 words | ****Native-body count:**** 139

****Model answer:****

A balanced strategy begins by separating objectives. Income poverty requires predictable, tenant-sensitive transfers; production risk needs insurance and extension; food security requires efficient procurement, stocks and consumer access; environmental stress needs corrected input incentives. One subsidy should not be expected to solve all four.

Open-ended fertiliser and power concessions can be capped and progressively rebalanced toward nutrient-neutral support, metered lifeline energy, irrigation efficiency, research, storage and climate resilience. Reliable delivery, offline alternatives and grievance redress should precede benefit retargeting. Transition cash and debt support can protect smallholders during adjustment.

WTO compatibility requires component-wise classification, correct AMS calculations, separate de minimis tests, defensible Article 6.2 or Green Box claims and timely notifications. Public stockholding should respect Bali transparency and safeguards while India pursues a permanent solution. Independent evaluation must track adequacy, incidence, productivity, ecology, fiscal cost and trade spillovers.

****Analytical spine:**** Claim -> named rule/evidence -> incidence/effect -> qualification -> sequenced reform.

FINAL RAPID REVISION

- Classify support before judging it.
- Trace legal recipient and final incidence separately.
- Label Budget figures BE, RE or Actual.
- Keep urea outside NBS and fertiliser DBT distinct from farmer cash.
- Keep MSP, procurement, fiscal subsidy and WTO MPS separate.
- Apply AoA formula, denominator and exemption conditions exactly.
- Bali due restraint is conditional; WT/L/939 lasts until a permanent solution.
- Reform must combine targeting, public goods, corrected incentives and transition protection.